

Tempus AI, Inc.
TEM NASDAQ

Hold \$61.19 ▼ 0.67% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32 Market Cap \$10.99B

TEM: CEO Selling Clouds Otherwise Bullish Cancer Data Story

WHAT HAPPENED

- Stock is basically flat (\$61, -0.67%) after a nice pop yesterday — the tug-of-war is between good news (Simply Wall St piece on their rare cancer data building a "moat," which just means a competitive advantage that's hard to copy) and CEO Eric Lefkofsky dumping \$9.6M in shares last week. When the guy running the company sells, investors get nervous — even if it's for tax planning or diversification.
- Healthcare was the #1 sector yesterday (+1.87%), so TEM had a tailwind but underperformed its sector, which is telling — the insider selling is acting as an anchor.

WHY IT MATTERS

Here's what I'm reading between the lines: TEM has a genuinely differentiated product (AI + massive cancer genomic dataset) and the rare cancer angle matters because the FDA's rare disease pathway gives faster approvals and better pricing power. But the CEO selling into strength — right after a bounce off the lows — signals he doesn't see a near-term catalyst worth waiting for. The bullish options flow (put/call ratio of 0.28 means traders are buying 3.5x more calls than puts, betting on upside) is fighting the insider selling, and that tension usually resolves violently one way or the other. Watch for the Q2 earnings print — if revenue growth stays above 60% YoY and they narrow the loss, the CEO selling becomes noise; if growth decelerates, this stock has \$50 written all over it.

POLICY & POLITICAL WATCH

The big political tailwind here is the ongoing CMS (Medicare) push to expand reimbursement for AI-driven diagnostics and genomic testing — TEM's bread and butter. There's also the ARPA-H (the health version of DARPA) funding cycle happening right now, which is directing federal dollars toward exactly the kind of precision oncology work Tempus does. The risk on the other side: any HHS budget cuts in the upcoming appropriations fight could squeeze the NIH grants that fund the academic hospitals buying TEM's services — worth watching the September budget deadline closely.

IS IT EXPENSIVE?

At \$11B market cap on ~\$1.2B expected revenue, investors are paying about \$9 for every \$1 of revenue — that's rich for a company still losing money, but cheap compared to where it traded at \$104 last year (roughly \$16 per \$1 of revenue). The math only works if you believe revenue can compound at 30%+ for the next 3-4 years AND they get to breakeven — miss either and the stock re-rates lower fast.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-07-02 14:40 UTC

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Key Data

Price (USD)	\$61.19
12M Price Target	\$68.00
Upside / (Downside)	+11.1%
Market Cap	\$10.99B
FY2026E Revenue	\$1,240M
FY2027E Revenue	\$1,580M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.10)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$70.00	\$62.00	\$52.00
6 Months	\$82.00	\$68.00	\$48.00
1 Year	\$95.00	\$68.00	\$42.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$130.00	\$30.00
10 Years	\$450.00	\$220.00	\$20.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.87% yesterday, +4.43% over 5 days) — money is flowing back into healthcare as investors look for growth outside of mega-cap tech, and the AI-healthcare intersection is the sweet spot. Financials also strong (+3.4% over 5 days) on rate-cut expectations.

COOLING OFF: Utilities and Energy showing weakness over the 5-day window — classic sign that defensive money is rotating into growth.

ROTATION WATCH: Money is moving from pure-play AI infrastructure names (chips, data centers) into AI *applications* — healthcare, legal, defense. That's a direct tailwind for TEM as an "AI applied to a real problem" story.

RELATED PLAY: If TEM works, look at Guardant Health (GH), Natera (NTRA), and Veeva (VEEV) — the whole precision medicine data infrastructure ecosystem benefits from the same tailwinds.

WHO'S WINNING IN THIS SPACE?

- NTRA (Natera): Winning on strong reimbursement wins and expanding into new cancer indications — pure execution story
- VEEV (Veeva Systems): The profitable, boring comp — showing that healthcare data platforms can actually make money at scale

TEM CONTEXT: TEM is lagging healthcare sector on the 5-day but at 31% of its 52-week range (\$42-\$104), it's in the penalty box while peers like NTRA are closer to highs. That tells me the market is treating TEM as "prove it" — good news is priced in cautiously, bad news gets punished hard. Translation: it's a coiled spring but needs a clear catalyst to release.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story and the setup, but the CEO selling and the still-lofty valuation on an unprofitable name keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — this is a volatile name (52-week range is \$42 to \$104, that's a 2.5x swing), so size it where a 30% drop wouldn't wreck your sleep.

ENTRY POINTS: I'd be a more aggressive buyer at \$50-55 on market pullbacks; at \$61, it's a nibble, not a load-up.

TIME HORIZON: 12-24 months — the catalyst is Q2/Q3 earnings showing revenue growth staying above 60% and losses narrowing.

WHEN TO BAIL: Revenue growth drops below 30% YoY, CMS announces reimbursement cuts on genomic testing, or the CEO does another big share sale within 90 days.

HEDGING: Don't overthink it — just keep the position small. If you want protection, pair TEM with a boring profitable healthcare name like Veeva so you're not 100% exposed to the "unprofitable AI healthcare" trade.